PERSONAL CONNECTION: BAD, GREEDY INVESTING

Now that I have offered you an entire chapter on how you should be investing, I will share a personal tale that exemplifies how you should not invest. In 2016, I was reading about stocks and came across an article describing a pharmaceutical company that was submitting a drug for approval. If the drug was approved, the company's stock would soar; if the drug was denied, it would collapse into itself like a dying star.

I knew nothing about the company and had no idea whether or not the drug would be approved. This was not investing at all; it was gambling. There was no difference between this and going to Vegas, throwing money on the roulette table, and hoping it would land on red instead of black. In fact, my odds may have actually been better in roulette. I decided to buy $1,000 worth of the stock and crossed my fingers. Investing advice should never be accompanied with "cross your fingers."

The company submitted the drug and was denied. As soon as the denial came out, the company's stock plummeted. I had completed one of the world's dumbest magic tricks: I took $1,000 and turned it into $200 in a few days. This is not investing. I was too enchanted by the chance of striking money quickly, instead of growing wealth slowly and reliably. This $800 lesson could have been much worse. There are plenty of stories of people losing their entire life savings on a risky play in the stock market.

Remember that becoming wealthy is not making a fortune out of $1,000 overnight. It is taking your $1,000, investing it, consistently adding to it, and turning it into something bigger—$20,000, or even $40,000—over a long period of time.